

meaning. It refers to any work undertaken for securing an income or reward. Such work may be manual or intellectual. For example, the work done by an agricultural worker or a cook or rickshaw puller or a mason is manual. The work of a doctor or teacher or an engineer is intellectual. In short, labour in economics refers to any type of work performed by a labourer for earning an income.

According to Marshall, labour represents services provided by the factor labour, which helps in yielding an income to the owner of the labour-power.

Characteristics of Labour

- Labour is the animate factor of production.
- Labour is an *active* factor of production.
- Labour implies several types: it may be manual (farmer) or intellectual (teacher, lawyer etc).
- Labour is perishable.
- Labour is inseparable from the Labourer.
- Labour is less mobile between places and occupations.
- Labour is a means as well as an end. It is both the cause of production and consumer of the product.
- Labour units are heterogeneous. Labour differs in ability.
- Labour-supply determines its reward (wage).
- Labour has weak bargaining power.

3.2.3 Capital




Bohm-Bawerk

Marshall says *"capital consists of all kinds of wealth other than free gifts of nature, which yield income"*. Bohm-Bawerk defines it as 'a produced means of production'. As said earlier, capital is a secondary means of production. It refers to that part of production which represents 'saving used as investment' in the further production process. For example, the entire mango is not eaten; a part of that (its nut) is used to produce more mangoes.

It is a stock concept. All capital is wealth but all wealth is not capital. For example, tractor is a capital asset which can be used in cultivation (production) of farm, but due to some reason the same is kept unused (idle) for some period. It cannot be termed as capital for that period. It is only wealth.

Chapter-03.indd 56 20-02-2020 11:48:07